Act, policy options for *diesel pricing* and inflation in *protein rich* products among others.

In the sixth and seventh meetings the IMG had discussed policy options to reduce the *distortions* in the prices between diesel and other petroleum product. It was suggested that in a gradual manner subsidy on diesel may be shifted to fixed per litre basis and price adjustment could be more frequent, and with regular intervals, may be on a monthly basis. It was also mentioned that any revision in diesel prices would have a direct and indirect impact on inflation, which continues to be at elevated levels. The revision, therefore, needs to be calibrated.

IMG further recommended a long term credible policy intervention for augmenting supplies of primary products. MSP based incentives without a breakthrough in productivity level, may not be sufficient. Productivity of pulses could be increased with the use of genetic seeds and a proper regulatory environment.

Producer Price Index

A working Group was set up in mid-2003–04 under the chairmanship of Prof. Abhijit Sen, Member, Planning Commission to fulfill the twin tasks of:

I. revising the current series of the WPI (i.e. base 1993–94) and
II. recommending a producer price index (PPI) for India which could replace the WPI.

The sub-groups of the working group have submitted their reports and the procees of revision in the base year for WPI is at the final stage. The new series (***base year***) for the WPI is decided to be the fiscal prices of 2000–01.

The proposal of switching over to the PPI (from the WPI) came up from the Government by mid-2003 and the working Group has been getting inputs from the IMF regarding it. The PPI measures price changes from the perspective of the producer while the cosumer price index (CPI) measures it from the consumers' perspective. As the producers sell at higher prices to their wholesellers, so retailers and the price increase is translated into the higher consumer prices—thus the PPI is useful in having an idea of the consumer prices in the future.[65] In PPI, only basic prices are used while